

Taiwan: CBC to hike rates, but unlikely to do so in June

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KEY MESSAGES

- We change our call to expect two 12.5bp rate hikes from Taiwan's central bank, having previously expected it to stay on hold at 2.00% until end-2027. We pencil in hikes in December 2026 and March 2027, depending on incoming data.
- A hawkish shift in tone is already likely to be evident at the CBC meeting on 18 June, in our view, to acknowledge inflationary risks.
- We raise our GDP growth forecasts to 9.1% for 2026 and 3.6% for 2027, from 7.0% and 2.5%, respectively. We also raise our CPI inflation forecasts by 0.1pp to 2.0% for both years, and we forecast core inflation of 2.0% in 2026 and 1.9% in 2027.
- **Rates strategy:** We expect tightness in the funding market to ease once the tax payment season concludes, with a possible pre-emptive, gradual recalibration of the funding market likely to be evident in 3m TAIBOR. We enter a 1s5s steepener trade idea to express our view on Taiwan's strong GDP growth coupled with gradual monetary policy tightening.

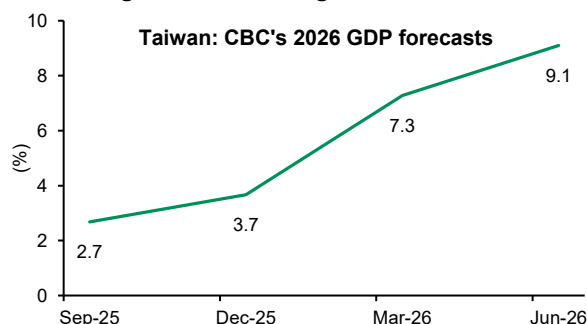
Wait-and-see for now, hike in H2: We expect Taiwan's central bank (CBC) to keep its policy rate unchanged at 2.00% at its meeting on 18 June. A rise in domestic inflationary pressure, continued strong growth momentum, hawkish rhetoric from global central banks and ongoing Middle East tensions do suggest risks of a hike in June; but though the overall tone of the meeting will likely show a hawkish shift, acknowledging risks to inflation, we consider board members' recent communications to point to a rate hold being more likely.

Later this year, we do see the CBC raising its policy rate to due to economic developments, not least because we expect the Fed to reverse 2025's three 'insurance' rate cuts at sequential meetings, beginning in December ([US: Changing our Fed call to rate hikes](#), dated 5 June). We change our end-2027 forecast to 2.25% from 2.00%, as we now think the CBC will deliver one 12.5bp rate hike in H2 2026 (December) and another in H1 2027 (March), with the timing likely to depend on data.

CBC upgrades to growth and inflation forecasts: We think the CBC is likely to raise its 2026 GDP growth forecast to around 9.1% from 7.3% at the June meeting, especially given stronger-than-expected growth in Q1, when the economy expanded by 1.7% q/q sa and 14.6% y/y.

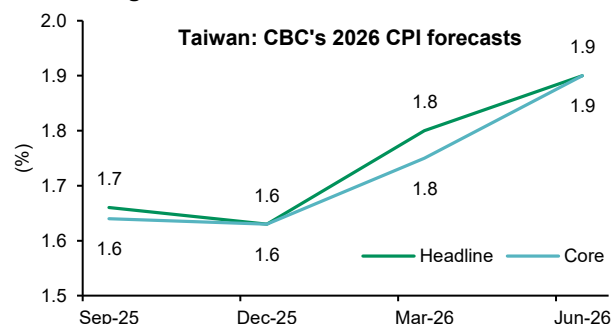
The CBC is also likely to raise its 2026 CPI inflation forecast to 1.9% from 1.8%, reflecting recent months' strong prints. In May, headline inflation rose to 2.2% and core inflation to 2.1%, alongside rises in PPI inflation. The CBC might also raise its 2026 core inflation forecast to 1.9% from 1.75%, given stronger demand-side pressures and potential second-round inflationary effects. Relatedly, the national statistical office recently raised its 2026 GDP growth forecast by 1.93pp to 9.64% and its 2026 CPI forecast by 0.25pp to 1.93% ([DGBAS](#), 29 May 2026).

Fig. 1: CBC's 2026 growth forecasts



Sources: CBC, BNP Paribas; Note: June 2026 is our expectation.

Fig. 2: CBC's 2026 inflation forecasts



Sources: CBC, BNP Paribas; Note: June 2026 is our expectation

We raise our GDP growth forecasts to 9.1% for 2026 and 3.6% for 2027, respectively from 7.0% and 2.5%, to reflect how the AI boom is strengthening Taiwan’s economy. Taiwan has been one of the key Asian beneficiaries of the sharp rise in global chip sales as hyperscalers have continued to expand their capex on AI models and datacentre infrastructure. AI appears to have generated positive spillovers into private consumption and investment, which positively contributed to growth in Q1.

Taiwanese inflation is likely to be generally higher in 2026–27 and onwards compared to pre-COVID period, in our view, thanks to higher wages and continued strong growth (GDP growth averaged 4.7% in 2020–25, compared with 2.6% in 2015–19). We raise our CPI inflation forecasts to 2.0% from 1.9% for both 2026 and 2027 and forecast core inflation of 2.0% in 2026 and 1.9% in 2027.

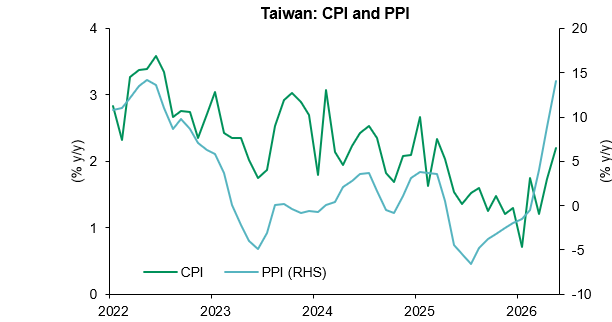
Inflationary signs: On 9 June, CBC board member Chien-Yi Chang said that there is no urgency for rate hikes as inflation is expected to be below 2% in 2026, signalling that he prefers a wait-and-see approach for the time being.

On 10 June, CBC Governor Chin-Long Yang mentioned that prices are relatively stable compared with other economies. He stressed that the government’s fiscal measures have been effective in capping inflation and added that imported inflation is limited thus far. He also said that monetary policy measures are not effective in fighting supply-side inflation, hinting that rate hikes would require evidence of second-round effects.

However, we see various signals that point to rising inflationary pressures.

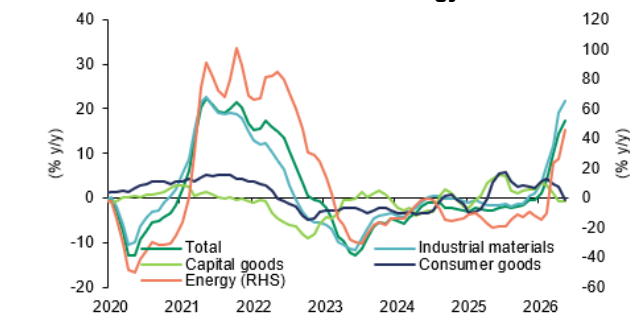
- Headline inflation increased to 2.20% y/y in May from 1.73% in April and 1.20% in March. Core inflation rose as well, printing 2.12% in May from 1.90% in April and 1.94% in March. PPI inflation was 14.1% y/y in May, rising sharply for the third consecutive month (see Figure 3).
- Imported prices rose by 17.2% y/y in May, primarily driven by industrial materials and energy products (see Figure 4).
- Various metrics of inflation expectations have risen in recent months, including the National Central University’s survey, CPI by frequency of purchase and Cathay inflation expectations (see Figures 5–6).

Fig. 3: Both CPI and PPI have continued to rise in recent months



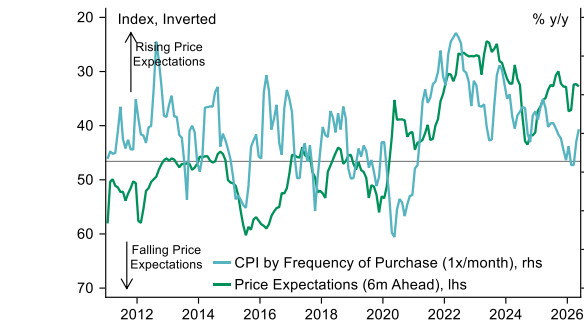
Sources: DGBAS, CEIC, BNP Paribas

Fig. 4: Imported price index have risen, driven by industrial materials and energy

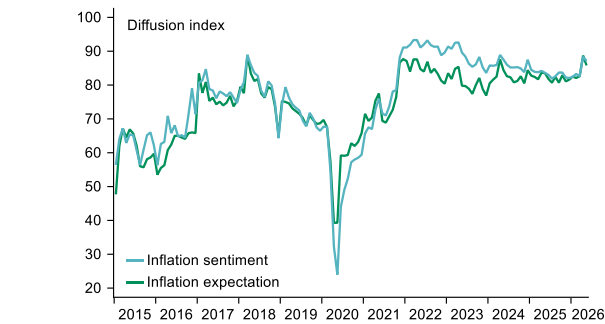


Sources: DGBAS, CEIC, BNP Paribas

Figs 5 and 6: Inflation expectations have picked up but remain mild



Sources: NCU Taiwan, DGBAS, Macrobond, BNP Paribas

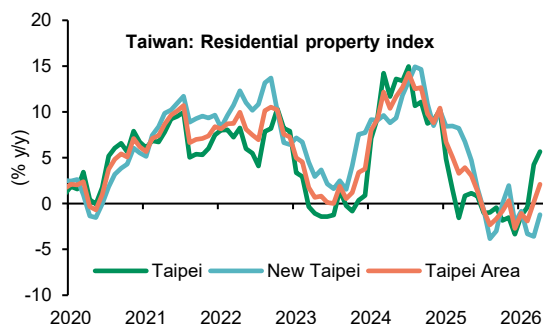


Sources: Cathay Financial Holdings, Bloomberg, BNP Paribas

Focus of credit control could shift to stock market leverage-related loans from housing: Although Taipei city’s housing prices are showing signs of recovery, most of the region has recorded flat housing prices alongside a drop in transaction volume (see Figure 7). Moreover, the mortgage loan concentration ratio has fallen into the CBC’s comfort zone (see Figure 8). Hence, we see no further need for credit controls on the housing market, as it appears to be in good place, echoing Governor Yang’s recent comment that “credit controls on the housing market won’t go further” ([MoneyUDN](#), dated 10 June, Chinese only). Given the vulnerability of the housing market to tightening measures, we believe the central bank will adopt a balanced approach to ensure a soft landing.

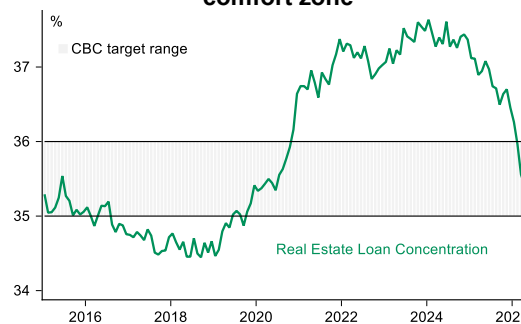
The authorities are likely to pay closer attention to leveraged demand in the stock market, which is affecting the interbank funding market, though Governor Yang recently said that such credit is still far from raising financial stability concerns. If the Taiwan FSC takes measures to manage stability in the equity market, these might be followed by additional CBC macroprudential measures, such as tightening loan quotas, raising required ratio/risk weights for loans, or adjusting LTV ratios on those loans.

Fig. 7: House price rises in Taipei area remain modest



Sources: Sinyi Real Estate, CEIC, BNP Paribas

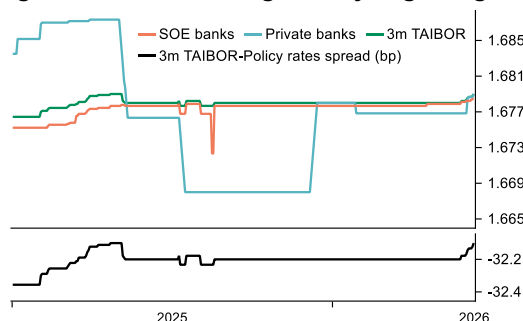
Fig. 8: Loan concentration ratio has fallen into CBC's comfort zone



Sources: Bloomberg, Macrobond, BNP Paribas

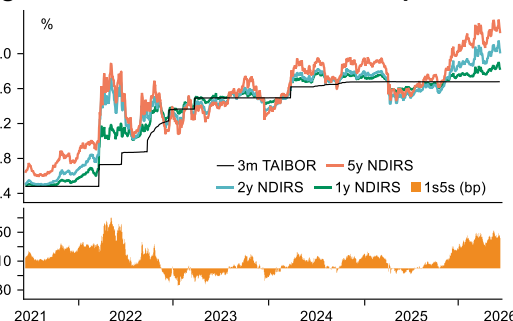
Temporary tightness in interbank funding, but CBC might steer money-market adjustments to safeguard financial stability: The recent jump in 1y NCD yields has sparked public concern over interest rates. The CBC attributes this rise to three main factors: flows into the equity market and heightened credit demand for leverage; the May–June tax-payment period, during which a portion of liquidity is effectively locked up; and AI-focused corporates drawing on their loan quotas to fund further capacity expansion. Strong funding demand has reduced NCD outstanding and nudged the 3-month TAIBOR higher, albeit very gradually.

Fig. 9: TAIBOR 3m has gradually edged higher



Sources: Bloomberg, BNP Paribas

Fig. 10: We see room for 1s5s to steepen further



Sources: Bloomberg, BNP Paribas

We expect the tightness to ease once the tax payment season concludes. Though the CBC has stressed that current funding pressures are far from triggering systematic risk, we see the possibility of a pre-emptive, gradual recalibration of the funding market. Potential measures could include raising the overnight interbank rate and narrowing the spread between the 3m TAIBOR and the policy rate. These steps echo the guidance in H2 2022 and H2 2024, which allowed interbank rates to respond more fully to market forces ([Taiwan rates: Concerned about a repeat of H2 2022?](#), dated 26 June 2024).

If anything, we expect the CBC to take a more balanced stance this time, offering targeted support to specific sectors. Its own commentary on the K-shaped economy ([CTEE](#), dated 5 June, Chinese only) highlights the need for finely tuned macroprudential tools rather than a blanket tightening.

Steeper trend intact: The AI-driven capex super cycle has made Taiwan the standout performer among Asian economies, boosting its potential growth through an increase in total factor productivity. We believe the AI-driven boom will continue to underpin Taiwan's growth over the next few years ([South Korea and Taiwan: AI-led growth momentum](#), dated 9 February) A 25bp rate hike is unlikely to trigger a material slowdown in that trajectory. In return, front-end rates will likely keep pricing substantial hikes, in our view.

That said, we believe the CBC is closely tracking this trend and is becoming more willing to look through short-term cyclical factors, placing greater emphasis on the underlying structural dynamics. Hence, we think the CBC may gradually adjust its monetary policy in the medium term to align with the higher potential growth.

In our view, this backdrop – combined with the current ~10% y/y growth print – should keep the TWD curve supportive over the medium term. Front-end rates have already priced in 40.5bp tightening over the next year; we consider those expectations excessive, even after the recent 7–8 bp rally. Our revised base case of CBC rate hikes in December and March raises the 1y NDIRS 'fair value' to 1.77%. Accordingly, we see a 1s5s steepener as an attractive expression of our view of strong underlying GDP growth coupled with gradual monetary policy tightening. As the market is pricing a quick hiking cycle in the near term, while we believe that the hiking will be slow, we like to put on a steepener with a spot start.

Trade idea: Spot–1s5s TWD NDIRS steepener in USD10k/DV01 at 42.5bp, Target: 60bp, Stop: 30bp, Carry & roll: 5.1bp/quarter.

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BNPP understand the importance of protecting confidential information and maintain a “need to know” approach when dealing with any confidential information. Information barriers are a key arrangement we have in place in this regard. Such arrangements, along with embedded policies and procedures, provide that information held in the course of carrying on one part of its business to be withheld from and not to be used in the course of carrying on another part of its business. It is a way of managing conflicts of interest whereby the business of the bank is separated by physical and non-physical information barriers. The Control Room manages this information flow between different areas of the bank where confidential information including inside information and proprietary information is safeguarded. There is also a conflict clearance process before getting involved in a deal or transaction.

In addition, there is a mitigation measure to manage conflicts of interest for each transaction with controls put in place to restrict the information flow, involvement of personnel and handling of client relations between each transaction in such a way that the different interests are appropriately protected. Gifts and Entertainment policy is to monitor physical gifts, benefits and invitation to events that is in line with the firm policy and Anti-Bribery regulations. BNPP maintains several policies with respect to conflicts of interest including our Personal Account Dealing and Outside Business Interests policies which sit alongside our general Conflicts of Interest Policy, along with several policies that the firm has in place to prevent and avoid conflicts of interest.

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